

FEDERAL INCOME TAX ACCOUNTING (140)

—Post-secondary—

STATE – 2019

Multiple Choice Section:

Multiple Choice (20 @ 2 points each) _____ (40 points)

Production Portion:

Problem 1: Schedule A (22 @ 3 points each) _____ (66 points)

Problem 2: 1040 (25 @ 3 points each) _____ (75 points)

Problem 3: Tax Liability (5 @ 3 points each) _____ (15 points)

TOTAL POINTS _____ ***(196 points)***

Failure to adhere to any of the following rules will result in disqualification:

- 1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.**
- 2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.**
- 3. Electronic devices will be monitored according to ACT standards.**

No more than ten (10) minutes orientation
No more than ninety (90) minutes testing time
No more than ten (10) minutes wrap-up

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General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

This test uses 2017 IRS tax law regulations for completion.

Part 1 –

MULTIPLE CHOICE (20 questions, 2 points each)

Identify the letter of the choice that best completes the statement or answers the question.

1. With dividend income more than \$1,500, a taxpayer must complete?
 - a. Schedule D Form 1040
 - b. Form 8949 Form 1040
 - c. Schedule D and Form 8949 Form 1040
 - d. None of the above
2. Which of following *are* deductions from AGI?
 - a. IRA Contribution
 - b. Educator Expenses
 - c. Personal Exemption
 - d. Student Loan Interest
3. Which of the following statements is *false*?
 - a. A taxpayer can claim parents as dependents even if they do not live with the taxpayer.
 - b. Qualified moving expense is a deduction from AGI.
 - c. There is Earned Income Credit for single taxpayers without dependents.
 - d. Long-Term Capital Gains are taxed at a different rate than Short-Term Capital Gains.
4. For a single taxpayer with \$57,822 in taxable income, what is the tax liability?
 - a. \$10,195
 - b. \$7,741
 - c. \$10,183
 - d. \$7,734
5. If a taxpayer is over 65 years old, blind, and single, what is the additional amount they received on their standard deduction?
 - a. \$1,550
 - b. \$3,100
 - c. \$2,900
 - d. \$1,450
6. A sole proprietor taxpayer put a 5-year piece of equipment into service on September 29, 2017. Using MACRS DDB, how much depreciation will this taxpayer take in 2017 on this piece of equipment assuming no section 179 was taken and the equipment cost was \$11,100 with a salvage value of \$3,100?
 - a. \$1,600
 - b. \$2,220
 - c. \$1,143
 - d. \$1,586

7. If two people file jointly, healthy 33-year old married taxpayers have 3 children that live with them all year long and qualify as exemptions, how much will they take for the exemption deduction in 2017?
 - a. \$19,500
 - b. \$20,250
 - c. \$20,000
 - d. \$19,750
8. A sole proprietor has a commercial building she put in service in October of 2015. The building cost is \$115,000, *not* including the land. How much depreciation will she take on this asset in 2017? *Round to the nearest dollar.*
 - a. \$2,948
 - b. \$3,651
 - c. \$4,181
 - d. \$2,949
9. Which of the following paid in the tax-year taxes would *not* be fully deducted on Form 1040 Schedule C?
 - a. Personal Property Taxes for the business
 - b. Real Estate Taxes for the business
 - c. State Withholding Taxes from W-2
 - d. Mortgage interest on building for business
10. A taxpayer owns a duplex with two units and the mortgage interest paid for the year is \$6,000. If Unit #1 is rented all year and has 1,000 square feet and Unit #2 is rented 8 months and has 500 square feet, how much should be written off to each unit?
 - a. \$500 per month rented for each unit
 - b. 50% to Unit #1, 50% to Unit #2
 - c. \$4,000 for #1, \$2,000 for #2
 - d. None of the above is correct
11. Which of the following would *prevent* you from using form 1040EZ?
 - a. You have dependents.
 - b. You are claiming the education credit.
 - c. Your income is \$130,000.
 - d. All would prevent you from using 1040EZ.
12. For non-cash charitable contributions, which of the following is *not* true?
 - a. You need to establish an FMV or cost for the item.
 - b. Intangible items are eligible like stocks and bonds.
 - c. Taxpayers can take deduct labor in relation to delivering the donated property.
 - d. You can donate a vehicle.

13. Assume Bernie is a self-employed accountant that has a qualifying home office. His house has a total of 1,000 square feet, and he uses 200 square feet for his office. If his utilities are \$800, real estate taxes are \$2,000, mortgage interest paid is \$1,000, and food for personal meals costs are \$4,020 for the year; excluding depreciation, how much will be the allowable deduction for these listed expenses for the home office, assuming he has sufficient enough profit beyond this expense?
 - a. \$760
 - b. \$3,800
 - c. \$1,564
 - d. \$7,820
14. If Larry qualifies for the moving expense deduction and his expenses include transportation of \$2,500, temporary storage of \$80 and Meals during the move of \$106; how much is deductible on Form 3903 if he gets \$880 reimbursed from his employer?
 - a. \$2,633
 - b. \$1,343
 - c. \$2,580
 - d. \$1,700
15. Gerry, married and 42-years old has \$7,435 in qualified medical expense she paid in 2017. If her AGI is \$45,600, how much can she take as a net deduction on Schedule A if she itemizes?
 - a. \$0, this is not deductible
 - b. \$4,015
 - c. \$7,435
 - d. \$6,915
16. Patty's husband died on January 3, 2017; what filing status will she use in 2017?
 - a. Qualifying Widow(er)
 - b. Single
 - c. Head of Household
 - d. MFJ
17. If a business puts depreciable property into service only in the 4th quarter of the tax year, the business must use?
 - a. MACRS half year convention
 - b. Straight-line depreciation
 - c. MACRS Mid-quarter convention
 - d. No depreciation is allowed

**Jeremy has the following insurance policies he pays on a monthly basis, see the table below.
Answer questions 18-20 with this information.**

Business Liability:

April 1, 2016 – March 31, 2017 = \$2,400 total year premium

April 1, 2017 – March 31, 2018 = \$2,700 total year premium

Vehicle Insurance (3 Business Vehicles):

January 1, 2017 – December 31, 2017 = \$6,000 total year premium

18. How much was Jeremy's total insurance expense per month for January – March 2017?
 - a. \$8,400
 - b. \$700
 - c. \$725
 - d. \$8,700

19. How much was Jeremy's total insurance expense for April – December 2017?
 - a. \$8,400
 - b. \$700
 - c. \$725
 - d. \$8,700

20. What percent increase did he experience per month?
 - a. 103%
 - b. 6.23%
 - c. 1.04%
 - d. 3.57%

Part 2: Form and Schedule Completion**PROBLEM #1**

John Google has the following paid amounts during 2017; his AGI is \$78,300.

Real Estate Taxes Paid \$2,200 (includes special assessment of \$150)
 Other Taxes: Personal Property Taxes, \$80
 Charitable Contributions in cash, \$800
 State Income Tax Withheld, \$4,710
 Real Estate Taxes paid on vacation home owned, \$1,970
 Gambling losses \$1,330, he has gambling income of \$980
 Form 1098 Mortgage Interest on main home \$2,010
 Form 1098 Mortgage Interest on home equity loan \$700
 Charitable Contributions-property gifts, \$160
 Qualified medical deductions \$3,170
 Safe Deposit Box charges \$60
 Tax Preparation Fee \$525
 Unreimbursed employee expenses from Form 2106 \$1,960

*Answer the following line questions regarding John's Schedule A: **YOU DO NOT NEED TO COMPLETE THE SCHEDULE —JUST USE IT TO CALCULATE THE LINE ANSWERS.***

<u>Line #</u>	<u>Amount</u>
Line 1	_____
Line 2	_____
Line 3	_____
Line 4	_____
Line 5	_____
Line 6	_____
Line 7	_____
Line 9	_____
Line 10	_____
Line 15	_____
Line 16	_____
Line 17	_____
Line 19	_____
Line 21	_____
Line 22	_____
Line 23	_____
Line 24	_____
Line 25	_____
Line 26	_____
Line 27	_____
Line 28	_____
Line 29	_____

PROBLEM #2

Levi Skoal, Sales Manager, is married with 2 children. Levi and his wife, Abby, have the following income, deduction, and credit items for 2017. They file MFJ and were not 65 years old or blind. They do *not* itemize and did not last year.

W-2 Income equals \$59,000

Taxable Interest is \$810

Non-taxable Interest is \$210

Ordinary Dividends (all are qualified) of \$400

Unemployment Compensation is \$1,800

Gambling Income is \$1,500

Abby is a first-grade teacher and has educator expenses equal to \$270.

All children live with them all year long and qualify for the child tax credit, and they receive the full amount for each.

Federal W-2 withholding is equal to \$3,500 and is the only tax payments they have made.

There is a 2017 Form 1040 for the Skoal's found at the end of this test:

*Answer the following line questions regarding the Skoal's Form 1040: **YOU DO NOT NEED TO COMPLETE THE FORM —JUST USE IT TO CALCULATE THE LINE ANSWERS.***

<u>Line #</u>	<u>Amount</u>
Line 7	_____
Line 8a	_____
Line 8b	_____
Line 9a	_____
Line 9b	_____
Line 19	_____
Line 21	_____
Line 22	_____
Line 23	_____
Line 36	_____
Line 37	_____
Line 38	_____
Line 40	_____
Line 41	_____
Line 42	_____
Line 43	_____
Line 44	_____
Line 47	_____
Line 52	_____
Line 55	_____
Line 56	_____
Line 63	_____
Line 64	_____
Line 74	_____
Line 75	_____

PROBLEM #3

Tax Look-Up (10 points, 2 each)

For each of the following situations, use the attached tax tables to find the tax liability

Marital Status	Taxable Income	Tax Liability
MFJ	22,860	_____
S	56,520	_____
HOH	38,665	_____
MFS	57,850	_____
QW	48,660	_____